The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Talks between **Israel** and **Lebanon** in Washington, DC ended after two hours. America said both sides agreed to hold direct talks at a later date. Israel's ambassador to America said the countries were "united in liberating Lebanon" from Hizbullah, an Iran-backed militia. Meanwhile, fighting continued on the ground. Israel said its troops had encircled the southern Lebanese town of Bint Jbeil, while Hizbullah fired rockets into northern Israel.

Donald Trump told the *New York Post* that a new round of talks between America and Iran could take place "over the next two days". Pakistan is reportedly pushing to host another round this week. Meanwhile the **Pentagon** said that no ships had passed its blockade in the Strait of Hormuz, and that six merchant vessels had turned back to Iranian ports on its instruction.

Investors cheered signs of more America-Iran talks. The S&P 500 rose around 1%, nearing its previous peak in late January, while the **Nasdaq 100** gained 1.6%, and was on track for its longest winning streak since 2021. Oil prices fell sharply; Brent crude was down more than 4%, as hopes of diplomacy eased fears of supply disruptions.

Amazon said it would buy **Globalstar**, a satellite-company, for nearly $12bn. The deal will help the tech giant compete with Starlink, a satellite-internet service made by Elon Musk's SpaceX. Amazon currently has around 200 satellites in low-earth orbit; Globalstar has 24. Amazon hopes to deploy 3,200 by 2029. But Starlink dominates the business with about 10,000 satellites in orbit.

JPMorgan Chase reported its second-most profitable quarter ever. Market volatility caused by the Iran war and regime change in Venezuela helped raise net income, which rose to $16.5bn from $14.6bn in the same quarter last year. The bank's share price, however, fell by 0.7% when markets opened. The bank cut its forecast for net interest income for the year to $103bn from $104.5bn.

Russia's oil export revenues nearly doubled in March to $19bn compared with $9.8bn in February, according to the International Energy Association, an official forecaster. The country produced about 9m barrels a day, up from 8.7m in February. Russia has been enjoying a windfall from the Iran war, which has increased oil prices. But Ukrainian attacks on Russia's oil infrastructure continue to eat into profits.

Novo Nordisk said it would partner with **OpenAI**, the maker of ChatGPT, to develop its drugs. The Danish pharmaceutical giant said it will use OpenAI's products to analyse data, "identify promising drug candidates" and speed up operations. Novo, which sells Wegovy, a weight-loss drug, has introduced several new products this year in a bid to claw back market share from Eli Lilly, an American rival.

Figure of the day: More than 500,000, the number of American tech jobs that are now "missing". Read about how the tech jobs bust is real.

Photograph: Getty Images

The sinking mood for the global economy

The opening remarks at the IMF's spring conference in Washington set a sobering tone for the week of discussions. On Tuesday the Fund slashed its baseline forecast of world economic growth in 2026 by 0.2 percentage points to 3.1%. That prediction is based on an average oil price of $82 per barrel for 2026. In more pessimistic scenarios, where a prolonged conflict keeps oil prices above $100 per barrel, the IMF predicts growth to fall to 2%.

The Fund also cut its growth forecast for emerging markets to 3.9%, down from 4.2% in January. Higher import bills are widening their trade deficits and weakening currencies. Investors could pull out cash. The IMF had earlier warned it may need to extend $50bn in emergency support aid to such countries.

Photograph: Getty Images

How long can Iran stand the blockade?

Iran has used its blockade of the Strait of Hormuz to exert pressure on America to cease its attacks. Now, Donald Trump wants to turn the tables. America's own blockade, which started on Monday, aims to sever Iran's economic lifeline to weaken its bargaining position: without oil exports Iran will struggle to pay for vital imports, even if they can still arrive through Caspian ports or overland.

But Iran is prepared for disruption. In 2020, when Mr Trump tried to crush the country's economy, crude exports fell below 400,000 barrels a day, down from 2.2m b/d in 2018. This time it can endure for perhaps six months by printing money, selling 100m or so barrels of oil in storage off Malaysia and China, and securing informal credit from suppliers of imports. The blockade will hurt America and its allies too, by further squeezing energy markets. Iran's leaders may still have time on their side.

Photograph: Reuters

Sánchez’s outspoken foreign policy

On Tuesday Pedro Sánchez, Spain’s Socialist prime minister, met China’s leader, Xi Jinping, during his fourth visit to the country in as many years. His message is clear: under his leadership, Spain is seeking alternatives to the alliance with Donald Trump’s America. Mr Sánchez has been the most confrontational of Europe’s leaders, preventing America from using joint air and naval bases and Spanish airspace for the war on Iran.

This stance is popular in Spain and in some other countries, but some in the EU are less trustful of China. And Spain may face reprisals. Israel has expelled it from the international monitoring force in Gaza; Mr Trump has mused about barring imports from Spain and moving the military bases. Yet Mr Sánchez appears undeterred. On his return from China, he will gather sympathetic leaders from Europe and developing countries to vent more frustrations about Mr Trump.

Photograph: Getty Images

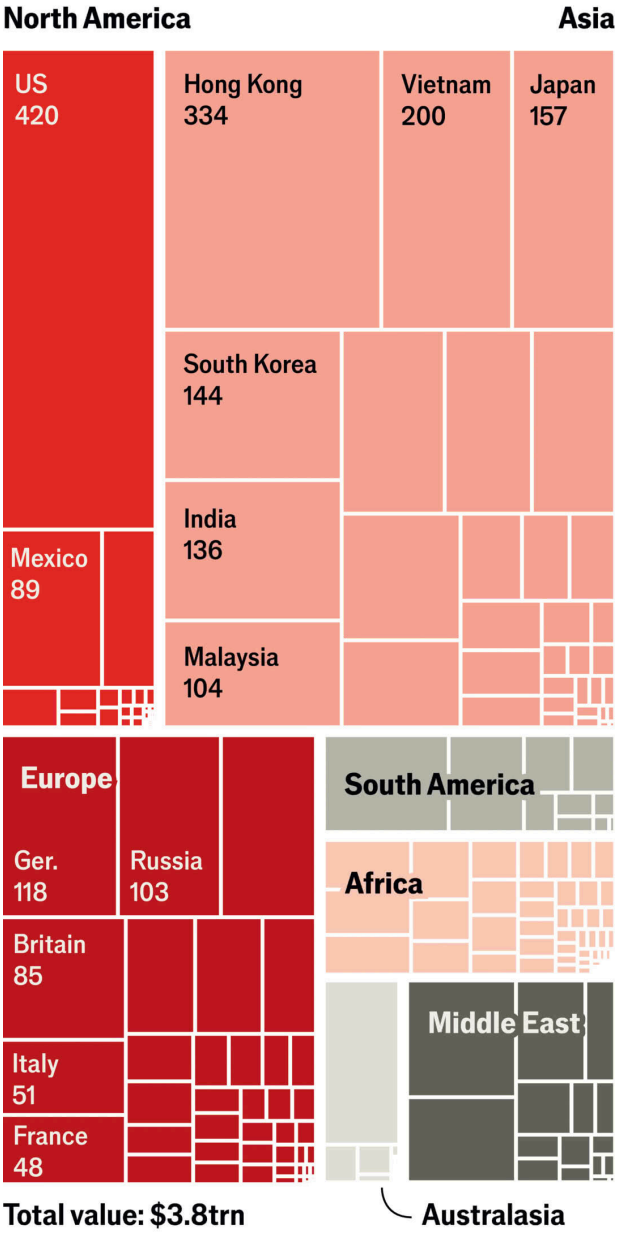
China’s exports defy expectations

When Donald Trump applied tariffs of up to 145% on Chinese goods last year, it looked as though China’s export machinery would stutter. But by the end of 2025 the country had a record $1.2trn trade surplus, with $3.8trn in exports. Figures released on Tuesday showed that China’s exports rose by 14.7% in the first three months of this year, compared with the same period last year.

Exports were hit by the closure of the Strait of Hormuz. Still, China’s products are fiercely competitive in other countries. Its “real” exchange rate—adjusted for prices—has fallen by 15% since 2022. Since the tariffs, Chinese firms have proven skilful at finding new markets for their wares: exports to America dropped by about $100bn last year, but this was more than compensated by additional sales elsewhere, worth some $300bn. China’s manufacturers hope the boom can continue. America’s tariffs on China—though still high—have fallen considerably. And while demand at home remains limp, foreign buyers are happily picking up the slack.

Trade blocks

China, exports, 2025, $bn



Total value: $3.8trn

Source: China Customs

Photograph: Getty Images

The Philippines' fiercest family feud

A congressional committee in the Philippines heard its first evidence in impeachment proceedings against Sara Duterte, the vice-president, on Tuesday. Ms Duterte is accused of threatening to kill the president, Ferdinand "Bongbong" Marcos, and of skulduggery with public funds. She spurned the committee's invitation to dispute the accusations (and has separately denied wrongdoing). If congress impeaches Ms Duterte and finds her culpable, it would thwart her ambition to succeed Mr Marcos in elections in 2028. She is currently the frontrunner.

Ms Duterte is the daughter of Rodrigo Duterte, president between 2016 and 2022. Mr Marcos made an enemy of her by sending her father to prison last year. Mr Duterte is now detained by the International Criminal Court, suspected of committing crimes against humanity during a bloodthirsty campaign against illegal drugs. The Marcos camp fears that if Ms Duterte becomes president, she will take revenge on them. Impeachment could be their best chance of stopping her.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Tuesday: Brussels is the capital of which region in Belgium?

Monday: Which American film-maker is known for documentary series on the American civil war, baseball and the Vietnam war?

The supreme accomplishment is to blur the line between work and play.

Arnold Toynbee